INTRODUCTION

Hedge funds originally started as an equity investment vehicle in which offsetting short and long positions protected the overall portfolio against major stock market moves. Today, the name *hedge funds* is a misnomer. They are not restricted to equities or just hedging strategies. Hedge funds are private pooled investment vehicles that can invest in a wide variety of products, including equities, fixed income, derivatives, foreign exchange, private capital, and real assets. It is the investment *approach* rather than the underlying investments that distinguish hedge funds. Many hedge funds operate in all kinds of financial markets by using leverage, short selling, or using financial instruments that are not often used by other similar commingled funds, such as mutual funds. This may result in a very different risk and return profile than owning underlying assets themselves.

The hedge fund industry is in a state of constant change as several hundred new funds are launched each year, with a similar number of funds exiting or being liquidated. While several jurisdictions around the world regulate hedge funds, often they are lightly regulated compared with other investment vehicles.

Learning Module Overview

- Hedge funds are private investment vehicles with pooled funds from institutions and high-net-worth (HNW) investors. Hedge funds typically have more flexible investment strategies than other options, such as mutual funds and ETFs.
- Hedge funds are not an asset class but are a variety of investment vehicles driven by a set of disparate investment strategies. Most hedge funds utilize some form of leverage to enhance potential returns.
- Hedge funds are typically classified by strategy. A variety of classifications are possible, which helps in the selection of appropriate investment strategies and appropriate performance benchmarks and in reviewing aggregate performance.
- Most hedge funds are set up as limited partnerships, with the portfolio manager acting as a general partner (GP) and the institutional investors acting as limited partners (LPs). This is the direct form of hedge fund setup. For smaller and retail investors, indirect forms, such as funds of funds, help obtain a hedge fund exposure.
- The legal and contractual relationship between the GPs and LPs is governed by the fund offering documents. In addition, a manager could draft a “side letter” applicable to some investors only, with different legal, regulatory, tax, operational, or reporting requirements.
- Hedge funds use several strategies, such as market-neutral, relative value, and event-driven strategies, to obtain diversification benefits and to attempt to outperform equity markets on a risk-adjusted basis.
- Hedge fund strategies are classified by a combination of the instruments in which they are invested, the trading philosophy followed, and the types of risks assumed.

Learning Module Self-Assessment

understanding of this learning module.

1. Which statement about hedge funds is most accurate?

A. Hedge funds are investment products offered to the public and are traded daily on the OTC market.
B. Hedge funds are benchmarked to an index or industry/sector, and managers use complex strategies to mimic the index or industry/sector.
C. Hedge funds are private pooled funds, applying strategies with a goal of maximizing returns while reducing risk.

Show Solution

2. Which of the following statements about relative value strategies is *least accurate*?

A. Relative value strategies seek to profit from a price or return discrepancy between securities based on a short-term relationship.
B. Relative value funds are inherently structured to minimize net market risk and credit risks.
C. The investments made under a relative value strategy are all within a single asset class or sector, using assets with a sufficient price differential to arbitrage their movements to equilibrium prices.

Hide Solution

Solution:

C is correct because it is the least accurate statement. Relative value strategies often involve investments in different asset classes. A and B are true.

3. Which of the following statements is *least accurate* about hedge funds?

A. Merger arbitrage strategies generally assume that an acquirer will be overpaying for the target.
B. Event-driven hedge funds flourish in a stable market environment, where minor deviations in asset prices quickly converge to equilibrium.
C. An activist strategy expects to realize higher returns due to the manager being more effective in driving the corporate policies or strategic direction of the investment.

Hide Solution

Solution:

B is correct because it is the least accurate statement. Event-driven hedge funds thrive in a rising market environment with a high level of corporate activity in a strong economy. These are the times that accelerate merger and acquisition activity. A and C are accurate statements.

4. Which of the following is *not* a characteristic of hedge funds?

A. Hedge funds are mostly illiquid, with little trading possibilities.
B. Hedge fund managers use leverage; however, the overall risk is lower.
C. Hedge funds are a different asset class, with a distinct risk/reward profile.
D. Managers demand higher remuneration and have more discretionary freedom in the choice of investments.

Hide Solution

Solution:

C is correct. Hedge funds invest in traditional asset classes but use a specific investment strategy. They are not a distinct asset class.

5. In January, HedgeAway, a new hedge fund, started operations with an initial amount of USD100 million. The fund charges a management fee of 1.6% based on end-of-year value and a performance fee of 18% on gross returns payable on the excess over a hurdle rate of 8% after fees. The fund ended the year with assets

A. 16.28%
B. 18.08%
C. 18.19%

Hide Solution

Solution:

A is correct.

Management fee = 1.6% of 120 million = 1.92 million.

Growth during the year = 20 million, excess over the hurdle

= 20 million – (100 million × 0.08) – 1.92 million = 10.08 million.

Performance fee = 10.08 million × 0.18 = 1.81 million.

Total fees = 1.92 million + 1.81 million = 3.72 million.

Return to the investors = 20 million – 3.72 million = 16.28 million.

Investors' return = 16.28%.

Discuss Filter

Discussion

What do you want to discuss... (required)

PS in 5th, they shouldve mentioned that the performance fee is calculated net of management fee.

Created 3 months ago by Pushkar Singh 1 reply | Last Activity: 3 months ago

Show All replies Reply to this Comment

LW Q4 Why B is wrong and C is correct?

Created 4 months ago by Ling Wang 2 replies | Last Activity: 3 months ago

Show All replies Reply to this Comment

© 2025 CFA Institute. All Rights Reserved.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search